

HCS HB 3383 -- NONPROFIT CORPORATION HIRING PRACTICES

SPONSOR: Vernetti

COMMITTEE ACTION: Voted "Do Pass with HCS" by the Standing Committee on Elections by a vote of 8 to 0 with 2 members voting present. Voted "Do Pass" by the Standing Committee on Rules-Legislative by a vote of 9 to 0 with 2 members voting present.

The following is a summary of the House Committee Substitute for HB 3383.

This bill requires any 501(c)(3) nonprofit corporation, 501(c)(4) nonprofit corporation, and any nonprofit organization organized under the laws of Missouri to utilize the E-Verify system for any employee hired to provide personal services for any political purpose or to take part in political management or a political campaign.

If any entity does not participate in the E-Verify System prior to hiring an employee to provide those services, the entity will be subject to the following penalties:

- (1) For a first offense, a fine between \$250 and \$2,000 per employee;
- (2) For a second offense, a fine between \$2,000 and \$5,000 per employee; or
- (3) For any subsequent offense, a fine between \$3,000 and \$10,000 per day, per employee.

In any entity uses the E-Verify System and is notified that an employee is not authorized to work in the United States, and proceeds to employ that employee, it will be subject to the following penalties:

- (1) For a first offense, a fine between \$250 and \$2,000 per employee;
- (2) For a second offense, a fine between \$2,000 and \$5,000 per employee; or
- (3) For any subsequent offense, a fine between \$3,000 and \$10,000 per day, per employee.

The following is a summary of the public testimony from the committee hearing. The testimony was based on the introduced version of the bill.

PROPOSERS: Supporters say that there is no reason E-Verify shouldn't be used by an employer. Missourians shouldn't need help finding campaign work from outside groups. Campaigns shouldn't hire someone who's in violation of the law merely by being in Missouri.

Testifying in person for the bill were Representative Verneti; and Fred Perkins.

OPPOSERS: Those who oppose the bill say that this bill is an overreach of state government and an intrusion of privacy into the business of nonprofits. This bill is a response to unfounded accusations made by politicians. Nonprofits will suffer consequences for doing this without this law. This is another restriction on Missouri residents engaging in the political process.

Testifying in person against the bill were Arnie Dienoff; and American Civil Liberties Union of Missouri.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.